

ECONOMY TOPIC 28

FARM SUBSIDIES + WTO RULES

OFFICIAL-SOURCE CUTOFF: 10 SEPTEMBER 2026

01 CLASSIFY BEFORE JUDGING

Direct/indirect describes linkage. Explicit/implicit describes fiscal visibility. Trace the legal payee, price pass-through and final incidence.

02 INDIA SUPPORT MAP

Income transfers; fertiliser price support; state power and irrigation; credit interest; insurance premium; seed/capital support; price procurement.

03 DATED BUDGET ANCHOR

FY 2026-27 BE, Rs crore: urea 116,799; NBS 54,000; PM-KISAN 60,000; interest subvention 22,600; PMFBY 12,200.

04 FERTILISER DISTINCTIONS

DBT reimburses companies after PoS-recorded sales. NBS began 1 April 2010 for notified P&K grades. Urea remains outside NBS.

05 INCIDENCE + DISTRIBUTION

Use, land, pumps, formal records, tenancy, elasticity and dealer power decide who gains. Per-unit equality can create unequal total benefit.

06 FISCAL + ECOLOGICAL LOOP

Outlay displaces public goods. Cheap nitrogen, power and water can reinforce groundwater depletion, nutrient imbalance and crop lock-in.

07 AoA THREE PILLARS

Market access covers border rules. Domestic support uses AMS, boxes and exemptions. Export competition covers export-contingent support.

LEGAL TEST > LABEL

08 DOMESTIC SUPPORT BOXES

Amber: non-exempt AMS. Green: Annex 2 conditions. Blue: production-limiting payment. Article 6.2: conditional developing-country exemption.

LEGAL TEST > LABEL

09 AMS CALCULATION

Market-price support = (applied administered price - fixed external reference price) x eligible production. It is not procurement spending.

LEGAL TEST > LABEL

10 DE MINIMIS

Developing member: product-specific below 10% of that product value; non-product-specific below 10% of total agricultural production. Test separately.

LEGAL TEST > LABEL

11 PUBLIC STOCKHOLDING

Bali 7 Dec 2013: conditional interim due restraint. WT/L/939, 28 Nov 2014: continues until a permanent solution is adopted.

LEGAL TEST > LABEL

12 REFORM SEQUENCE

Repair data and service -> target need -> correct relative prices -> lifeline protection -> public goods and risk tools -> grievance, sunset and evaluation.